www.tntextbooks.in

Illustration 11

The following errors were located after the preparation of the trial balance. Assume that there exists a suspense account. Pass journal entries to rectify them.

(a) The total of purchases book was undercast by ` 100.

(b) The total of the discount column on the debit side of cash book ` 575 were not posted.

(c) The total of one page of the sales book for ` 5,975 were carried forward to the next page as ` 5,795.

(d) Salaries ` 1,800 were posted as ` 18,000.

(e) Purchase of goods on credit from Mukilan for ` 150 have been posted to his account as ` 1,500.

Solution

	Particulars		L.F.	Dr. `	Cr. `
a	Purchases A/c	Dr.		100	
	To Suspense A/c				100
	(Under casting of purchases book rectified)				
b	Discount allowed A/c	Dr.		575	
	To Suspense A/c				575
	(Omission to post the total of discount allowed, now rectified)				
c	Suspense A/c	Dr.		180	
	To Sales A/c				180
	(Lesser amount carried forward in the sales book rectified)				
d	Suspense A/c (18,000 –1,800)	Dr.		16,200	
	To Salaries A/c				16,200
	(Excess amount posted to the salaries account rectified)				
e	Mukilan A/c (1,500 –150)	Dr.		1,350	
	To Suspense A/c				1,350
	(Excess amount posted to Mukilan account rectified)				

(b) Rectification of two-sided errors after preparing the trial balance

At this stage, every two-sided error is rectified by passing a rectifying journal entry by debiting one of the accounts affected and crediting the other account. As these errors do not cause difference in trial balance, the suspense account is not used in the rectifying journal entries. Therefore, the rectifying entries passed for rectifying two-sided errors before preparation of trial balance and after preparation of trial balance are the same.